DAY 2 The price goes down by 30%

Say on Day 2 now, the price of the underlying asset TCS has gone down by 30%. Assuming both stands at the initial margin balance of ₹60,000 each.

	SELLER	BUYER
Initial Margin	₹60,000	₹60,000
- 30% (₹3,00,000 x 30%)	₹90,000	(₹90,000)
Balance	₹1,50,000	(₹30,000)

SELLER

Since the price has gone down, the seller now stands at a profit of ₹90,000 (hypothetical).

BUYER

To compensate the Seller for this profit, the buyer now will be debited with ₹90,000, his account balance now stands at (₹30,000). The buyer now has an obligation to pay additional ₹30,000 for their losses. If they wish to continue holding the position, they will have to pay the margin amount again too.